contura energy

NEWS RELEASE

FOR IMMEDIATE RELEASE

Contura Announces First Quarter Results

BRISTOL, Tenn., May 30, 2017 – Contura Energy, Inc. today reported its first quarter 2017 results. These figures update and expand upon the preliminary first quarter results announced on May 12, 2017.

Highlights for the first quarter include:

- **Coal revenue of $509 million, including $149 million from CAPP and $167 million from Trading and Logistics**
- **Net Income of $37 million, or $3.47 per diluted share**
- **Adjusted EBITDA of $129 million**
- **Unrestricted cash balance of $241 million at the end of March**

(millions, except per share)

	First Quarter 2017
Coal revenues	**$508.9**
Net Income	**$37.3**
Net Income per diluted share	**$3.47**
Adjusted EBITDA[1]	**$128.8**
Operating cash flow	**$136.2**
Capital expenditures	**$12.9**
Tons of coal sold	**13.1**

Financial Performance

- Coal revenues in the first quarter were $508.9 million, with Central Appalachia (CAPP) accounting for $148.7 million and Trading and Logistics accounting for $166.7 million. On the thermal side, Northern Appalachia (NAPP) revenue totaled $97.7 million and the Powder River Basin (PRB) generated $95.8 million in coal sales.

[1] This is a non-GAAP financial measure. A reconciliation of net income to adjusted EBITDA is included in a table accompanying the financial schedules.

For the first quarter, CAPP metallurgical coal shipments were 1.1 million tons at an average per-ton realization of $140.54. Contura shipped 8.8 million tons of PRB coal during the quarter at an average per-ton realization of $10.92, while NAPP shipments totaled 2.2 million tons at an average per-ton realization of $44.39. Within the Trading and Logistics segment, 1.0 million tons of coal were shipped at an average price of $158.62 per ton.

- Total costs and expenses during the first quarter were $476.8 million and cost of coal sales was $368.2 million. The cost of coal sales in CAPP during for the quarter averaged $74.79 per ton. NAPP and PRB costs averaged $29.55 per ton and $9.52 per ton, respectively. Trading and Logistics average cost of coal sales was $134.04 per ton.

- Selling, general and administrative (SG&A) expenses in the first quarter were $13.8 million, which includes approximately $2.4 million of non-recurring expenses associated with the formation of the company and costs related to the company's filing of a registration statement with the SEC, as well as $1.4 million of non-cash stock compensation charges. Depreciation, depletion and amortization was $16.9 million during the first quarter and amortization of acquired intangibles was $19.7 million. Other income included a mark-to-market change in value of warrants totaling $2.2 million, a non-cash gain.

- Contura recorded a net income of $37.3 million, or $3.47 per diluted share for the first quarter.

- Adjusted EBITDA was $128.8 million for the quarter.

Liquidity and Capital Resources

Cash provided by operating activities for the first quarter was $136.2 million, while capital expenditures were $12.9 million.

At quarter-end, Contura had $240.6 million in unrestricted cash. Total long-term debt, including the current portion of long-term debt as of March 31, 2017, was approximately $391.4 million.

ABOUT CONTURA ENERGY

Contura Energy is a private, Tennessee-based company with affiliate mining operations across multiple major coal basins in Pennsylvania, Virginia, West Virginia and Wyoming. With customers across the globe, high-quality reserves and significant port capacity, Contura Energy reliably supplies both metallurgical coal to produce steel and thermal coal to generate power. For more information, visit www.conturaenergy.com.

FORWARD-LOOKING STATEMENTS

This news release includes forward-looking statements, including but not limited to statements regarding Contura's financial results for the three months ended March 31, 2017 performance. These forward-looking statements are based on Contura's expectations and beliefs concerning future events and involve risks and uncertainties that may cause actual results to differ materially from current expectations. These factors are difficult to predict accurately and may be beyond Contura's control. You should review the risks and uncertainties discussed in the Company's condensed consolidated financial statements and report for the period ended December 31, 2016, which are available on our website.

Forward-looking statements in this news release or elsewhere speak only as of the date made. New uncertainties and risks arise from time to time, and it is impossible for Contura to predict these events or how they may affect the Company. Contura has no duty to, and does not intend to, update or revise the forward-looking statements in this news release or elsewhere after the date this release is issued. In light of these risks and uncertainties, investors should keep in mind that results, events or developments disclosed in any forward-looking statement made in this news release may not occur.

INVESTOR CONTACT

investorrelations@conturaenergy.com

Alex Rotonen
423.573.0396

MEDIA CONTACTS

corporatecommunications@conturaenergy.com

Rick Axthelm
423.573.0304

Emily O'Quinn
423.573.0369

FINANCIAL TABLES FOLLOW

Use of Non-GAAP Measures

In addition to the results prepared in accordance with generally accepted accounting principles in the United States (GAAP) provided throughout this press release, Contura has presented the following non-GAAP financial measure, which management uses to gauge operating performance: Adjusted EBITDA. This non-GAAP financial measure excludes various items detailed in the attached reconciliation table.

The definition of this non-GAAP measure may be changed periodically by management to adjust for significant items important to an understanding of operating trends. This measure is not intended to replace financial performance measures determined in accordance with GAAP. Rather, it is presented as a supplemental measure of the Company’s performance that management finds useful in assessing the Company’s financial performance and believes is useful to securities analysts, investors and others in assessing the Company’s performance over time. Moreover, this measure is not calculated identically by all companies and therefore may not be comparable to similarly titled measures used by other companies.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENT OF OPERATIONS (Unaudited)
(Amounts in thousands, except share and per share data)

		Three Months Ended March 31, 2017
Revenues:		
Coal revenues	$	508,890
Freight and handling revenues		60,223
Other revenues		4,320
Total revenues		573,433
Costs and expenses:		
Cost of coal sales (exclusive of items shown separately below)		368,152
Freight and handling costs		60,223
Other expenses		1,453
Depreciation, depletion and amortization		16,931
Amortization of acquired intangibles, net		19,658
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)		13,829
Secondary offering costs		942
Mark-to-market adjustment - acquisition-related obligations		(4,357)
Total costs and expenses		476,831
Income from operations		96,602
Other income (expense):		
Interest expense		(11,468)
Interest income		31
Loss on early extinguishment of debt		(38,701)
Mark-to-market adjustment for warrant derivative liability		2,160
Equity loss in affiliates		(1,211)
Miscellaneous income, net		205
Total other expense, net		(48,984)
Income before income taxes		47,618
Income tax expense		(10,347)
Net income	$	37,271
Basic income per common share	$	3.62
Diluted income per common share	$	3.47
Weighted average shares - basic		10,309,428
Weighted average shares - diluted		10,728,281

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED BALANCE SHEET (Unaudited)
(Amounts in thousands, except share and per share data)

		March 31, 2017
Assets		
Current assets:		
Cash and cash equivalents	$	240,607
Trade accounts receivable, net		136,458
Inventories, net		63,625
Assets held for sale		1,714
Prepaid expenses and other current assets		34,870
Total current assets		477,274
Property, plant, and equipment, net		316,035
Other acquired intangibles (net of accumulated amortization of $81,509)		67,491
Long-term restricted cash		49,321
Long-term deposits		55,435
Other non-current assets		34,343
Total assets	$	999,899
Liabilities and Stockholders' Equity		
Current liabilities:		
Current portion of long-term debt	$	6,461
Trade accounts payable		87,807
Acquisition-related obligations - current		19,218
Accrued expenses and other current liabilities		81,379
Total current liabilities		194,865
Long-term debt		384,893
Acquisition-related obligations - long-term		52,884
Asset retirement obligations		192,091
Other non-current liabilities		99,287
Total liabilities		924,020
Stockholders' Equity		
Preferred stock - par value $0.01, 2.0 million shares authorized, none issued		—
Common stock - par value $0.01, 20.0 million shares authorized, 10.3 million issued and outstanding at March 31, 2017		103
Additional paid-in capital		47,420
Accumulated other comprehensive income		2,016
Treasury stock, at cost: 81 shares at March 31, 2017		(1)
Retained earnings		26,341
Total stockholders' equity		75,879
Total liabilities and stockholders' equity	$	999,899

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS (Unaudited)
(Amounts in thousands)

		Three Months Ended March 31, 2017
Operating activities:		
Net income	$	37,271
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation, depletion and amortization		16,931
Amortization of acquired intangibles, net		19,658
Accretion of acquisition-related obligations discount		2,413
Mark-to-market adjustment for warrants derivative liability		(2,160)
Mark-to-market adjustment for acquisition-related obligations		(4,357)
Equity loss in affiliates		1,211
Accretion of asset retirement obligations		5,525
Employee benefit plans, net		1,178
Non-cash loss on extinguishment of debt		13,665
Other, net		2,006
Changes in operating assets and liabilities		42,873
Net cash provided by operating activities		136,213
Investing activities:		
Capital expenditures		(12,878)
Proceeds from sale of property, plant and equipment		250
Capital contribution to equity affiliates		(1,180)
Purchase of additional ownership interest in equity affiliate		(13,293)
Net cash used in investing activities		(27,101)
Financing activities:		
Proceeds from borrowings on debt		396,000
Principal repayments of debt		(356,500)
Principal repayments of capital lease obligations		(223)
Debt issuance costs		(10,389)
Debt extinguishment costs		(25,036)
Principal repayments of notes payable		(305)
Net cash provided by financing activities		3,547
Net increase in cash and cash equivalents		112,659
Cash and cash equivalents at beginning of period		127,948
Cash and cash equivalents at end of period	$	240,607
Supplemental cash flow information:		
Cash paid for interest	$	20,627
Supplemental disclosure of non-cash investing and financing activities:		
Capital leases and capital financing - equipment	$	147
Accrued capital expenditures	$	7,799

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENT OF STOCKHOLDERS' EQUITY (Unaudited)
(Amounts in thousands)

	Common Stock		Additional Paid-in Capital	Accumulated Other Comprehensive Income	Treasury	Retained Earnings	Total Stockholders' Equity
	Shares	Amount			Stock at Cost		
Balances, December 31, 2016	10,309	$ 103	$ 45,964	$ 2,087	$ —	$ (10,930)	$ 37,224
Net income	—	—	—	—	—	37,271	37,271
Other comprehensive loss	—	—	—	(71)	—	—	(71)
Stock-based compensation and net issuance of common stock for share vesting	—	—	1,456	—	(1)	—	1,455
Balances, March 31, 2017	10,309	$ 103	$ 47,420	$ 2,016	$ (1)	$ 26,341	$ 75,879

Reconciliation of Non-GAAP measures

	Three Months Ended March 31, 2017					
	CAPP	NAPP	PRB	Trading and Logistics	All Other	Consolidated
Net income (loss)	$ 64,367	$ 30,284	$ 5,019	$ 5,669	$ (68,068)	$ 37,271
Interest expense	60	51	192	—	11,165	11,468
Interest income	(3)	—	—	—	(28)	(31)
Income tax expense	—	—	—	—	10,347	10,347
Depreciation, depletion and amortization	5,505	3,156	8,082	—	188	16,931
Mark-to-market adjustment for warrant derivative liability	—	—	—	—	(2,160)	(2,160)
Mark-to-market adjustment - acquisition-related obligations	—	—	—	—	(4,357)	(4,357)
Secondary offering costs	—	—	—	—	942	942
Loss on early extinguishment of debt	—	—	—	—	38,701	38,701
Amortization of acquired intangibles, net	—	—	—	19,658	—	19,658
Adjusted EBITDA	$ 69,929	$ 33,491	$ 13,293	$ 25,327	$ (13,270)	$ 128,770

\- ### -